

PART TWO

One trade, step by step

Part two — the sequence on a real BTCUSD chart

THE SEQUENCE

One BTCUSD trade

The same ideas applied in order on a real 1-hour chart.

THROUGHOUT

What would break it

Every step names the thing that would invalidate it.

Educational reference — not financial advice.

These are widely-taught chart-reading conventions, not verified descriptions of institutional order flow. Nothing here is a signal, a recommendation, or evidence that any particular label is objectively correct.

The sequence, on a real chart

One BTCUSD 1-hour setup, annotated step by step. No synthetic candles — every screenshot that follows is the same real chart.

1

Sell-side liquidity sweep

Price takes the obvious low, then rejects.

2

MSS / displacement

A decisive break of short-term structure upward.

3

Order Block + FVG

The impulse leaves a zone and an imbalance behind.

4

Retracement and entry

Price returns to the zone; the trigger fires there.

5

Stop loss

Placed beyond the structural invalidation, for a reason.

6

Take profit

Toward the opposing liquidity, also for a reason.

The chart, before any labels

BTCUSD, 1-hour bars, 28 Aug – 3 Sep 2025 — real prices, redrawn. Worth one look with fresh eyes before the annotations tell you what to see.



Liquidity sweep

Price breaks the higher low that the whole morning rally was built on, wicks well below it, and immediately rejects.

WHAT TO LOOK FOR

- The higher low at 108,904 — obvious, and full of stops.
- A wick down to 108,533, then a close back above.
- The break is not held: it is taken and given straight back.

THE TRAP

Do not buy simply because liquidity was swept. A sweep on its own is context, not a trade — you still need a structural response afterwards.



MSS / displacement

One hourly candle adds \$2,269 and closes above the structure high — the break is carried by a single decisive bar.

WHAT TO LOOK FOR

- The 13:00 candle opens at 108,859 and closes at 111,128.
- It closes above the 110,669 structure high in one move.
- It happens after the sweep, not before it.

THE TRAP

A tiny random break is not an MSS. If you have to squint to find the structure that broke, it did not break.



Order Block + FVG

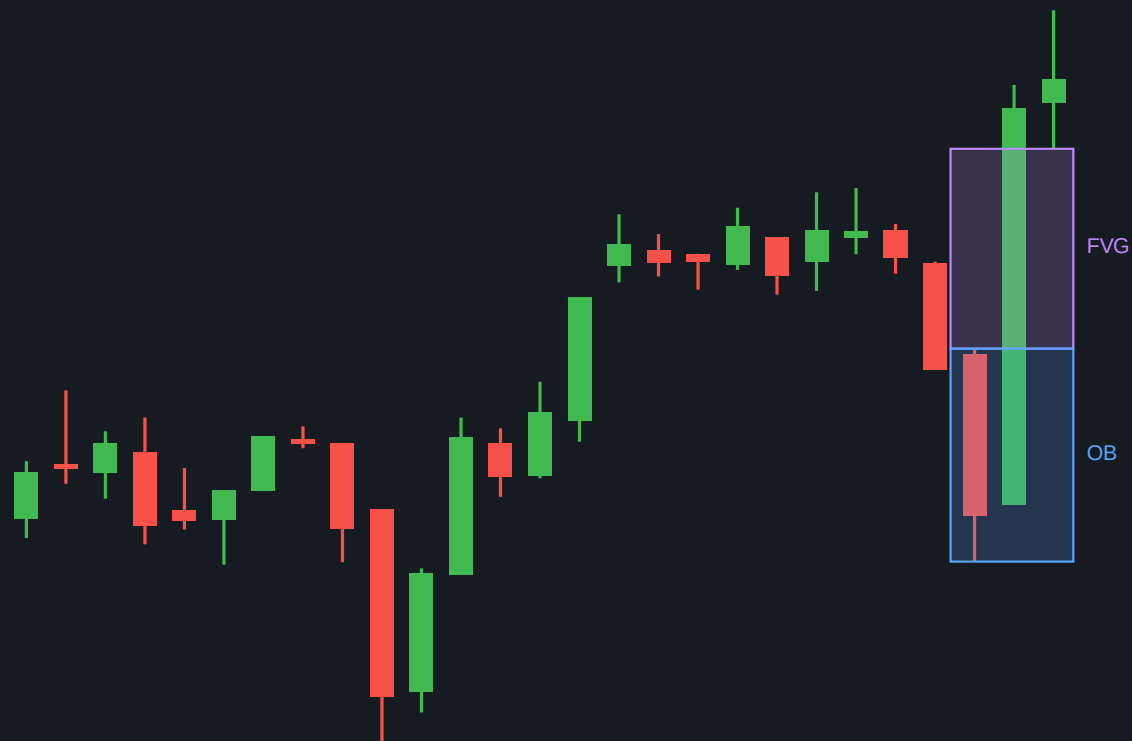
The impulse leaves two things behind: the candle it came from, and a gap it never traded through.

WHAT TO LOOK FOR

- Order Block — the last down candle, 108,533–109,751.
- Fair Value Gap — 109,751–110,894, skipped entirely.
- Both formed after the sweep and after the structure break, in that order.

THE TRAP

The useful question is not "can I find an FVG?" — you almost always can. It is whether the FVG formed after the liquidity event and the structure shift.



STEP 4 OF 6

Retracement and entry

Price turns back down into the gap within two hours. That retrace — not the impulse — is where the trade is taken.

WHAT TO LOOK FOR

- The next candles trade back to 110,894, the top of the gap.
- The zone is reached, so a predefined trigger can fire there.
- Entry is at the zone, not on the candle that created it.

THE TRAP

Entering on the impulse itself is the most common way this setup is lost. The whole point of the zone is that it gives you a defined place to act.



Stop loss and target

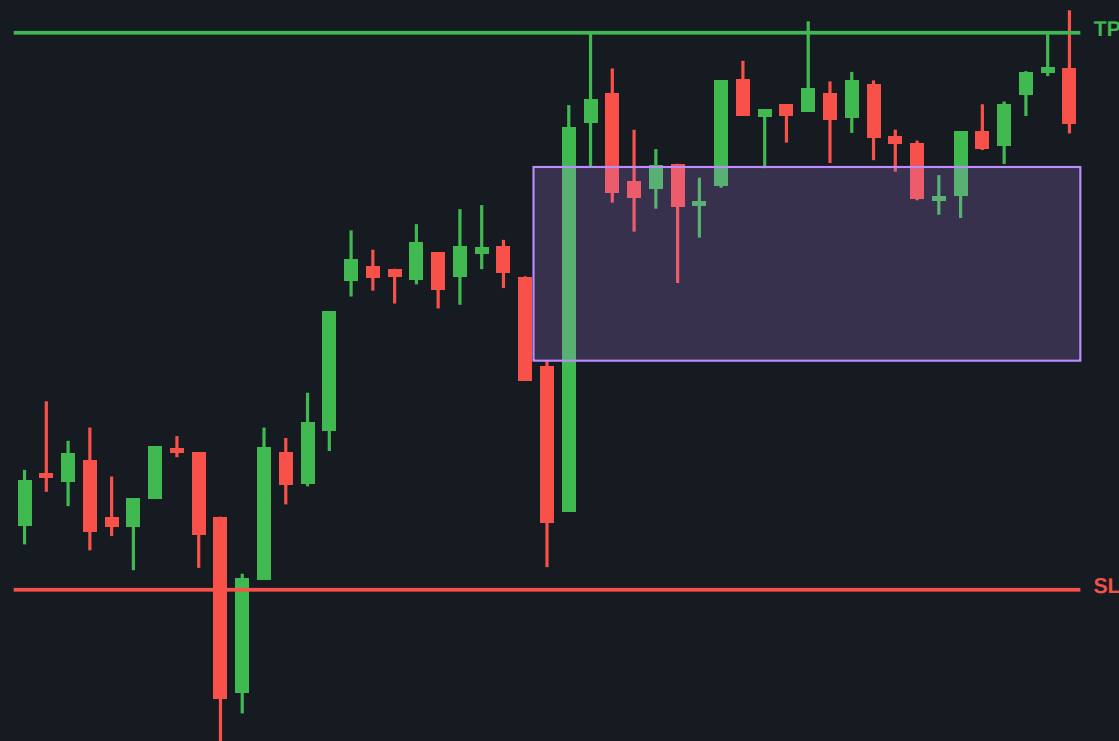
Risk goes below the wick that started it all; the objective is the liquidity resting above.

WHAT TO LOOK FOR

- Stop at 108,400 — under the sweep low, where the read is wrong.
- Objective at 111,686 — the buy-side liquidity overhead.
- Both levels are defined by structure, not by a round number of dollars.

THE TRAP

A stop needs a reason and so does a target. "Below the sweep" and "at the opposing liquidity" are reasons. A fixed number of points is not.



The whole sequence

Every piece on one chart, in the order it actually happened — each step conditional on the one before it.

WHAT TO LOOK FOR

- Sweep, then structure break, then zone, then retrace, then entry.
- Remove any step and the one after it has no reason to exist.
- The order is the method; the labels on their own are not.

THE TRAP

The sequence is the lesson. Memorising the labels in isolation gives you the vocabulary without the grammar.



What happened next

The setup is read at the displacement candle on 2 September, so the entry, stop and target are forward-looking from that moment — not history. Here is how it actually resolved, from the same price data.

RETRACE INTO THE GAP

Filled

2 Sep, 15:00 — two hours after the impulse.

OBJECTIVE 111,686

Reached

3 Sep, 00:00 — about eleven hours later.

STOP 108,400

Never touched

The low held; price ran to 113,284 that week.

AND THAT PROVES NOTHING

One setup resolving as anticipated is a single observation. It does not measure how often the pattern works, what it costs when it fails, or whether the labels would have been drawn the same way before the move rather than after it. That is the whole reason this guide keeps saying: test it on your own data.

Glossary

All fifteen, at a glance.

- 1 Break of Structure**
Price closes beyond a prior swing point, confirming the trend continues.
- 2 Change of Character**
The first break that signals a possible trend reversal.
- 3 Market Structure Shift**
A decisive break of internal structure that confirms a new directional bias.
- 4 Buy-Side Liquidity**
Resting buy-stop orders parked above swing highs.
- 5 Sell-Side Liquidity**
Resting sell-stop orders parked below swing lows.
- 6 Equal Highs / Equal Lows**
Repeated highs or lows sitting at nearly the same price.
- 7 Liquidity Sweep**
A stop-hunt beyond a prior high or low, then a sharp reversal.
- 8 Inducement**
A small, obvious swing that lures traders in before the real move.
- 9 Fair Value Gap**
A price imbalance left behind by a fast move.
- 10 Inverted Fair Value Gap**
An FVG that gets fully broken and flips its role.
- 11 Order Block**
The last opposing candle before a strong, structural move.
- 12 Mitigation**
Price returns to an Order Block to fill orders that were left behind.
- 13 Breaker Block**
A failed Order Block that flips polarity once structure breaks through it.
- 14 Mitigation Block**
The last opposing candle before a move that fails to reach new liquidity.
- 15 Premium vs. Discount**
Splitting a trading range at its 50% equilibrium point.

Five ways this goes wrong

Each of these is a failure of method, not of the concepts themselves.

1 Labelling after the move

Any chart can be annotated perfectly in hindsight. The test is whether you marked the zone before price reached it.

2 Finding a zone anywhere

FVGs and order blocks exist on every chart at every scale. Without the sequence — liquidity, then structure — they are just rectangles.

3 Skipping invalidation

If a setup has no level that would prove it wrong, it cannot be tested, and it cannot be traded with defined risk.

4 Treating one example as evidence

The walkthrough in Part Two is a single trade. One example shows what the pattern looks like; it says nothing about how often it works.

5 Confusing vocabulary with edge

Knowing the terms makes charts easier to discuss. It does not by itself make anyone profitable.

Source and caveats

WHERE THIS COMES FROM

Instrument	BTC-USD · 1 hour
Price data	Yahoo Finance
Window	28 Aug – 3 Sep 2025
Compiled by	bhurtelmaresh

WHAT THE ANNOTATIONS ARE

Every candle in Part Two is real BTC-USD hourly data, drawn from the price series rather than traced from a screenshot. The labels explain the SMC / ICT reading of what the chart did; they are not proof those labels correspond to real institutional orders.

Use the setup as a framework to test against your own data, not as a signal.

DISCLAIMER

This document is educational material about chart-reading conventions. It is not financial, investment, or trading advice, and nothing in it is a recommendation or a prediction. Markets carry risk of loss. Any decision you make is your own responsibility.